WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

INDIA

Asia

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Mumbai / Maharashtra	Financial capital and home of the Reserve Bank of India and the main stock exchanges; India's leading FDI destination with $18.4 billion of equity inflows in FY2025-26	Financial services, ports and logistics, media, real estate
Bengaluru / Karnataka	Technology capital, where FDI equity inflows nearly doubled to $12.9 billion in FY2025-26, led by software and global capability centres	IT and software, AI, aerospace, biotech
Delhi NCR (Delhi and Haryana)	Seat of government and a large consumer and services market, together attracting more than $10 billion of FDI equity in FY2025-26	Government relations, professional services, automotive, retail
Gujarat: GIFT City, Sanand and Dholera	India's International Financial Services Centre and the hub of its semiconductor drive, with six approved chip projects worth about ₹1.24 lakh crore; Micron's Sanand plant opened in February 2026	Offshore finance, semiconductors, electronics, chemicals
Chennai / Tamil Nadu	Established export-manufacturing base on the east coast, attracting $4.7 billion of FDI equity in FY2025-26	Automotive, electronics, renewable energy, ports
Visakhapatnam / Andhra Pradesh	Emerging digital-infrastructure hub where construction began in April 2026 on Google's $15 billion, 1 GW AI and data-centre campus	Data centres, AI infrastructure, ports, energy
Special Economic Zones (368 notified)	Export zones with about ₹7.86 lakh crore of investment and 3.17 million jobs; SEZ exports rose 32% to over ₹11.70 lakh crore in April-December 2025	Electronics, IT services, pharmaceuticals, engineering

INVESTOR ENTRY ROUTES

- Invest India (national investment promotion and facilitation agency under DPIIT) provides sector guidance, investor tracking and support with central and state approvals
- Consolidated FDI Policy with most sectors open under the automatic route; insurance opened to 100% FDI under the Sabka Bima Sabki Raksha Act 2025, and Press Note 2 of 2026 eased rules for small, non-controlling stakes from land-border countries

- GIFT City International Financial Services Centre (IFSC), regulated by IFSCA, offering a dollar-denominated, tax-efficient platform for banking, funds, bond listings and external borrowing
- Special Economic Zones (368 notified) and state industrial parks offering ready land, customs facilitation and export infrastructure
- Foreign Exchange Management Act (FEMA) framework administered by the RBI: a market-determined rupee with current-account convertibility and repatriation of dividends and FDI proceeds, supported in 2026 by RBI FCNR(B) and ECB swap facilities
- Production-Linked Incentive (PLI) schemes and the India Semiconductor Mission offering capital and output-linked support for manufacturing in electronics, semiconductors and other priority sectors
- Four consolidated Labour Codes in force since 21 November 2025, replacing 29 laws and simplifying compliance for employers

MARKET-ENTRY OBSERVATION

India in October 2026 remains the fastest-growing major economy, combining scale, momentum and a steadily improving investment framework. Real GDP grew 7.7% in FY2025-26 and accelerated to 7.8% in April-June 2026, with services expanding 12.1%; the IMF raised its 2026 forecast to 7% in October and the RBI projects 7.1% for FY2026-27. Gross FDI inflows reached a record $94.5 billion in FY2025-26, with equity inflows up 18% to $58.8 billion and US investment more than doubling to $11.2 billion, while total exports hit a record $863 billion. Reform momentum is strong: the Labour Codes took effect in November 2025, insurance was opened to 100% FDI, the India-UK Comprehensive Economic and Trade Agreement entered into force on 15 July 2026, and India-EU free trade negotiations were concluded in January 2026.

India's main structural challenge is its dependence on imported energy, with around 88.7% of crude oil imported. The West Asia conflict since late February 2026 has lifted oil prices, with Brent above $100 at times, and contributed to a weaker rupee, around 6% lower against the dollar this year, and retail inflation of 5.54% in September; the RBI responded by raising the repo rate to 5.50% on 7 October under a stance of calibrated tightening. The external position has proved resilient: the current account deficit was just 0.5% of GDP in April-June 2026, cushioned by net services receipts of $51.6 billion and remittances of $42.9 billion, foreign exchange reserves stood at $726 billion in early October, and RBI swap windows drew in more than $52 billion of FCNR(B) deposits. Officials reported that around 70% of crude imports were sourced from routes outside the Strait of Hormuz, and the drive for energy security is accelerating opportunities in renewables, storage and domestic energy infrastructure.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Energy import dependence and West Asia shipping	Around 88.7% of crude oil is imported, so the West Asia conflict and Strait of Hormuz disruptions have raised import costs, with Brent above $100 at times in 2026	Diversified crude sourcing and a low current account deficit cushion the economy; energy-intensive investors can build oil-price scenarios into planning
Rupee movements	The rupee has eased around 6% against the dollar in 2026 amid higher oil prices and portfolio outflows	Reserves of $726 billion and RBI swap facilities support stability; hedge local-currency exposure, and note that a competitive rupee benefits exporters
Inflation and rising interest rates	CPI inflation reached 5.54% in September 2026 and the RBI raised the repo rate to 5.50% in October, signalling further vigilance	Lock in financing early and consider GIFT City dollar funding; the RBI's proactive stance supports medium-term price stability
US trade terms	A bilateral trade agreement with the United States is still under negotiation following an initial understanding in February 2026	India's widening FTA network with the UK, EFTA, Oman, New Zealand and, prospectively, the EU diversifies export options for India-based producers
Regulatory complexity and state-level variation	Approvals span central and state authorities, and land, power and labour conditions differ between states	Use Invest India and state investment agencies, and favour states and industrial parks with proven single-window processes

Issue	Potential Impact	Possible Mitigation
Land acquisition and contract enforcement	Securing land and resolving commercial disputes can take time in some jurisdictions	Locate in SEZs or established industrial parks with ready land, and use arbitration clauses, including GIFT City structures for cross-border contracts
Sectoral caps and land-border investor rules	Some sectors retain FDI caps or approval requirements, and investors with beneficial ownership from land-border countries face screening	Most sectors are open under the automatic route; 2026 reforms set clearer timelines and allow passive stakes of up to 10% without prior approval

INVESTOR RISK NOTE

India's risk profile is that of a large, diversified and fast-growing economy with substantial buffers and a policy framework that has steadily become more investor-friendly. Record gross FDI of $94.5 billion in FY2025-26, the opening of insurance to full foreign ownership, the Labour Codes and a rapidly expanding trade-agreement network, including the UK CETA in force since July 2026, are sustained structural gains. The main near-term sensitivity is energy: the 2026 West Asia conflict has raised oil prices, pressured the rupee and lifted inflation, prompting a measured RBI rate rise to 5.50%. These pressures are external in origin and are being met from a position of strength, with a current account deficit of only 0.5% of GDP, reserves of $726 billion and growth still above 7%. Investors in energy-intensive or import-dependent activities should include oil-price and currency scenarios in planning, while investors in services, technology, manufacturing for the domestic market and energy transition can draw confidence from the breadth of India's growth.

MARKET ACCESS

India is a founding member of the WTO and offers one of the world's largest domestic markets, with a population of more than 1.4 billion. It has an expanding network of trade agreements: CEPAs with the UAE (2022) and Oman (in force June 2026), the ECTA with Australia (2022), the EFTA Trade and Economic Partnership Agreement (in force October 2025), the India-UK CETA (in force 15 July 2026) and an FTA with New Zealand taking effect on 20 October 2026, alongside the ASEAN-India FTA and South Asian arrangements. The India-EU FTA, concluded in January 2026, is expected to be signed in December 2026 and could take effect in 2027, while a bilateral agreement with the United States is under negotiation. Exports reached a record $863 billion in FY2025-26, split almost evenly between goods ($442 billion) and services ($421 billion). India is also a partner in the India-Middle East-Europe Economic Corridor (IMEC), positioning it as a manufacturing and services base with growing preferential access to Western, Gulf and Asia-Pacific markets.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Prime Minister's Office (Narendra Modi)	Sets national economic priorities, including manufacturing, infrastructure, digital and energy-security policy	Primary reference point for India's strategic direction and flagship programmes
Invest India	National investment promotion and facilitation agency, linked to central ministries and state governments	Standard first point of contact for market entry, incentives and approvals support
Ministry of Commerce and Industry / DPIIT (Piyush Goyal)	Sets FDI policy and leads trade negotiations, including the UK CETA, the EU FTA and talks with the United States	Key counterpart on FDI rules, trade-agreement benefits and SEZ policy
Reserve Bank of India (Governor Sanjay Malhotra)	Monetary authority and FEMA regulator; manages the rupee, reserves and foreign-exchange rules	Relevant for repatriation, external borrowing, currency and banking-sector matters
Ministry of Finance (Nirmala Sitharaman)	Sets the Union Budget, including ₹12.2 lakh crore of capital expenditure for FY2026-27, and tax policy	Relevant for tax treatment, infrastructure pipelines and fiscal incentives
International Financial Services Centres Authority (IFSCA), GIFT City	Unified regulator for banking, capital markets, funds and insurance in the GIFT	Preferred structuring venue for offshore finance, funds and dollar-denominated

Actor	Why It Matters	Waverley Engagement Angle
	City IFSC	transactions
India Semiconductor Mission	Administers incentives for chip fabrication, packaging and display projects, with ISM 2.0 in preparation	Essential partner for electronics and semiconductor supply-chain investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The UK-India Business Council, the Confederation of Indian Industry (CII), the Federation of Indian Chambers of Commerce and Industry (FICCI) and NASSCOM, the technology-industry body, are the principal channels for business liaison, alongside AmCham India and other bilateral chambers. The India-UK Joint Economic and Trade Committee and the new CETA's implementation bodies provide government-to-government routes for UK investors. Invest India and state investment agencies host regular investor forums, and state summits such as Vibrant Gujarat are major dealmaking events. The World Bank, Asian Development Bank, AIIB and British International Investment maintain large India programmes in infrastructure, energy transition and private-sector finance, and GIFT City increasingly serves as a hub for cross-border financial-services networking.

INVESTOR PROFILE BEST SUITED

India suits a broad range of investors seeking scale and long-term growth: technology, AI and global capability centre investors drawn by deep talent pools in Bengaluru, Hyderabad and other cities; manufacturing investors using PLI schemes, SEZs and new FTAs to build export platforms in electronics, semiconductors, automotive and pharmaceuticals; infrastructure, data-centre and renewable-energy investors aligned with record public capital expenditure and the energy-security agenda; and financial-services, insurance and fund investors using the newly opened insurance sector and GIFT City. UK investors are particularly well placed to benefit from the CETA. Investors in energy-intensive or import-dependent activities should build oil-price and currency scenarios into project economics.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Invest India and the relevant state investment agency
Open early dialogue on sector incentives, approvals and site options, comparing state-level offers on land, power and single-window support.

STEP 2: Map the CETA and wider FTA benefits for your sector
Assess tariff, services and mobility provisions under the India-UK CETA and India's other agreements, and prepare for the India-EU FTA expected in 2027.

STEP 3: Evaluate GIFT City for financing and structuring
Consider the IFSC for dollar-denominated funding, fund vehicles and treasury operations, which can also help manage rupee and interest-rate exposure.

STEP 4: Build energy and currency scenarios into planning
Model oil-price and rupee scenarios informed by 2026 developments, and apply standard hedging for significant local-currency or fuel-cost exposure.

STEP 5: Leverage PLI, semiconductor and SEZ incentives for manufacturing entry
Engage the relevant ministry and zone authorities to secure production-linked and location-based incentives for qualifying export-oriented projects.